



**Company Registration Number-PV/PB 13254 PQ**

# **INTERIM FINANCIAL STATEMENTS**

**FOR THE SIX MONTHS ENDED  
30TH SEPTEMBER 2019  
(Second Quarter)**

## **JETWING SYMPHONY PLC**

### **CORPORATE INFORMATION**

|                             |                                                                                                                                                                                  |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| NAME OF COMPANY             | Jetwing Symphony PLC<br>Company Number: PV/PB 13254 PQ                                                                                                                           |
| LEGAL FORM                  | Public quoted Company with Limited Liability incorporated in Sri Lanka in 2007. The ordinary shares of the Company were Listed in the Colombo Stock Exchange on 5th January 2018 |
| BOARD OF DIRECTORS          | N.J.H.M.Cooray - Chairman<br>N.T.M.S.Cooray (Ms)<br>K.K. Reddy (Ms)<br>N.Wadugodapitiya<br>Dr. V. Kannangara<br>L.K Porter<br>G. Rocchi<br>Y. Fernando (Ms)<br>S. D. Amalean     |
| SECRETARIES                 | Corporate Services (Pvt) Ltd<br>216, De Saram Place<br>Colombo 10.<br>Phone : 4718200                                                                                            |
| AUDITORS                    | Messrs Ernst & Young<br>Chartered Accountants<br>201, De Saram Place<br>Colombo 10.                                                                                              |
| HOTEL OPERATION & MARKETING | Jetwing Hotels Ltd<br>"Jetwing House"<br>46/26, Nawam Mawatha<br>Colombo 2.<br>Phone : 4709400<br>E-mail : reservations@jetwinghotels.com<br>Web : www.jetwinghotels.com         |
| REGISTERED OFFICE           | "Jetwing House"<br>46/26, Nawam Mawatha<br>Colombo 2.                                                                                                                            |

## **JETWING SYMPHONY PLC**

### **CHAIRMAN'S MESSAGE**

To the Shareholders and Well-wishers of Jetwing Symphony PLC,

A few months on from an incident that not only shook our industry and economy, but also the Sri Lankan people and spirit, I have pondered on what is most required for the country from a long-term, sustainable approach.

Yes, we have taken a major financial toll in the short term, and I am doubtful that we will come back to our regular flow of business in the current financial year. Many companies have reduced rates considering the impending drop in tourist arrivals, and this has resulted in a price war between hotels and travel agencies to win whatever business is at hand. Focusing on the short-term now seems futile, and it is certainly more fruitful to look at the long-term future of your company and the country at large.

At its core, Sri Lanka is a country of people with diverse religious and cultural backgrounds. In the last few decades, we have witnessed destruction, death, hostility, tension, and racism of immense proportions. I envision a country where each citizen, regardless of their race or religion, could live together in peace and harmony. Among its other benefits, peace is the single most important catalyst for economic growth – with tourism being one of the major beneficiaries. For 10 years, our industry flourished, mainly due to the peace and stability established in the country. If we are to continue to build a peaceful nation, we need to start eliminating the root causes of death and destruction – hate, anger, malice, and so on; and instead, spread love, compassion and empathy among all people. At Jetwing, we are taking on the challenge to educate and nurture communities, especially children, on the importance of living together in harmony. We started "Project We" at Jetwing Lake, your company's property in Dambulla, on the 27th of September, where children representing schools of all 4 major religions participated in a full day of activities aimed at helping them learn from each other and develop lasting friendships. We are planning multiple events like this across our properties around the island and will continue doing what we can to foster racial and religious harmony in Sri Lanka.

In terms of your company's growth, I'm pleased to note that progress at Jetwing Kandy Gallery is on schedule, and we are expecting our first guests on the 14th of January 2020. We decided to continue the project despite the prevailing situation, focusing on the long-term prospects of the company. I am confident it will be one of the most unique and sought-after properties in the hill capital, and we are taking on the challenge of introducing new levels of product and service delivery, which will distinguish your hotel from its competitors.

I also want to extend my continued heartfelt gratitude to all our stakeholders who helped us during these troubled times, especially our loyal Sri Lankan customers and our international guests who continued with their travel plans to our majestic island. I am also humbled by the outpouring support we received from the global Bohra community in September and for everyone else that did not postpone or cancel their planned events around the country.

Finally, I wish to thank all of you for standing with us and giving us the strength to continue our work during the last few months.

Ayubowan!

Blessings,  
Hiran Cooray  
Chairman – Jetwing Symphony PLC

**JETWING SYMPHONY PLC**  
**STATEMENT OF FINANCIAL POSITION**

|                                                            | GROUP                              |                                  | COMPANY                            |                                  |
|------------------------------------------------------------|------------------------------------|----------------------------------|------------------------------------|----------------------------------|
|                                                            | Unaudited<br>30.09.2019<br>Rs.'000 | Audited<br>31.03.2019<br>Rs.'000 | Unaudited<br>30.09.2019<br>Rs.'000 | Audited<br>31.03.2019<br>Rs.'000 |
| <b>AS AT</b>                                               |                                    |                                  |                                    |                                  |
| <b>ASSETS</b>                                              |                                    |                                  |                                    |                                  |
| <b>Non - Current Assets</b>                                |                                    |                                  |                                    |                                  |
| Property, Plant and Equipment                              | 9,017,090                          | 8,987,612                        | -                                  | -                                |
| Prepaid Lease Rent                                         | -                                  | 47,049                           | -                                  | -                                |
| Intangible Assets                                          | 582,327                            | 582,926                          | -                                  | -                                |
| Right of Use Assets                                        | 76,306                             | -                                | -                                  | -                                |
| Investment in Subsidiary                                   | -                                  | -                                | 5,419,233                          | 5,419,233                        |
| Other Investments                                          | 1,003                              | 885                              | -                                  | -                                |
|                                                            | <b>9,676,726</b>                   | <b>9,618,472</b>                 | <b>5,419,233</b>                   | <b>5,419,233</b>                 |
| <b>Current Assets</b>                                      |                                    |                                  |                                    |                                  |
| Inventories                                                | 54,131                             | 59,499                           | -                                  | -                                |
| Trade and Other Receivables                                | 153,410                            | 257,213                          | 59,278                             | 61,811                           |
| Income Tax Receivable                                      | 533                                | 536                              | -                                  | -                                |
| Other Current Financial Assets                             | 1,581                              | 182,310                          | -                                  | 5,000                            |
| Cash at Bank and in Hand                                   | 18,437                             | 49,530                           | 1,964                              | 665                              |
|                                                            | <b>228,092</b>                     | <b>549,088</b>                   | <b>61,242</b>                      | <b>67,476</b>                    |
| <b>Total Assets</b>                                        | <b>9,904,818</b>                   | <b>10,167,560</b>                | <b>5,480,475</b>                   | <b>5,486,709</b>                 |
| <b>EQUITY AND LIABILITIES</b>                              |                                    |                                  |                                    |                                  |
| <b>Equity Attributable to equity holders of the Parent</b> |                                    |                                  |                                    |                                  |
| Stated Capital                                             | 5,509,276                          | 5,509,276                        | 5,509,276                          | 5,509,276                        |
| Revaluation Reserve                                        | 934,175                            | 934,175                          | -                                  | -                                |
| Retained Earnings/ (Losses)                                | (1,415,950)                        | (1,124,390)                      | (31,409)                           | (32,552)                         |
|                                                            | <b>5,027,501</b>                   | <b>5,319,061</b>                 | <b>5,477,867</b>                   | <b>5,476,724</b>                 |
| <b>Non Controlling Interest</b>                            | <b>16,003</b>                      | <b>21,434</b>                    | <b>-</b>                           | <b>-</b>                         |
| <b>Total Equity</b>                                        | <b>5,043,504</b>                   | <b>5,340,495</b>                 | <b>5,477,867</b>                   | <b>5,476,724</b>                 |
| <b>Non-Current Liabilities</b>                             |                                    |                                  |                                    |                                  |
| Interest-bearing Loans & Borrowings                        | 2,754,378                          | 2,233,775                        | -                                  | -                                |
| Post-Employment Benefit Liability                          | 34,692                             | 30,516                           | -                                  | -                                |
| Deferred Tax liability                                     | 247,390                            | 247,390                          | -                                  | -                                |
|                                                            | <b>3,036,460</b>                   | <b>2,511,681</b>                 | <b>-</b>                           | <b>-</b>                         |
| <b>Current Liabilities</b>                                 |                                    |                                  |                                    |                                  |
| Current portion of Interest-bearing Loans & Borrowings     | 1,615,634                          | 2,043,566                        | -                                  | -                                |
| Trade and Other Payables                                   | 208,647                            | 263,229                          | 2,050                              | 2,284                            |
| Income Tax Payable                                         | 573                                | 8,589                            | 558                                | 7,701                            |
|                                                            | <b>1,824,854</b>                   | <b>2,315,385</b>                 | <b>2,608</b>                       | <b>9,985</b>                     |
| <b>Total Liabilities</b>                                   | <b>4,861,314</b>                   | <b>4,827,065</b>                 | <b>2,608</b>                       | <b>9,985</b>                     |
| <b>Total Equity and Liabilities</b>                        | <b>9,904,818</b>                   | <b>10,167,560</b>                | <b>5,480,475</b>                   | <b>5,486,709</b>                 |

The Statement of Financial Position as at 30th September 2019, the Statement of Profit or Loss, the Statement of other Comprehensive Income, the Statement of Changes in Equity and Cash Flow Statement for the six months then ended as well as the Statement of Profit or Loss and the Statement of other Comprehensive Income for the three months are drawn up from the unaudited financial statements of the Group/Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

  
**C.S.R.S. Anthony**

Director- Jetwing Hotels Ltd, Managing Agents

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by.

  
**N.J.H.M. Cooray**  
Chairman

  
**N.T.M.S. Cooray**  
Director

Colombo  
01st November 2019

**JETWING SYMPHONY PLC**  
**STATEMENT OF PROFIT OR LOSS - GROUP**

| YEAR ENDED        |                                                               | 06 MONTHS ENDED                    |                                    |                                           | 03 MONTHS ENDED                    |                                    |                                           |
|-------------------|---------------------------------------------------------------|------------------------------------|------------------------------------|-------------------------------------------|------------------------------------|------------------------------------|-------------------------------------------|
|                   |                                                               | Unaudited<br>30.09.2019<br>Rs.'000 | Unaudited<br>30.09.2018<br>Rs.'000 | Variance<br>Favourable/<br>(Unfavourable) | Unaudited<br>30.09.2019<br>Rs.'000 | Unaudited<br>30.09.2018<br>Rs.'000 | Variance<br>Favourable/<br>(Unfavourable) |
| <b>31.03.2019</b> | <b>Audited</b>                                                |                                    |                                    |                                           |                                    |                                    |                                           |
| <b>1,911,321</b>  | <b>Revenue</b>                                                | <b>675,514</b>                     | <b>819,006</b>                     | -18%                                      | <b>386,315</b>                     | <b>520,354</b>                     | -26%                                      |
| (315,998)         | Cost of Sales                                                 | (132,347)                          | (138,393)                          | 4%                                        | (75,236)                           | (81,361)                           | 8%                                        |
| <b>1,595,323</b>  | <b>Gross Profit</b>                                           | <b>543,167</b>                     | <b>680,613</b>                     | -20%                                      | <b>311,079</b>                     | <b>438,993</b>                     | -29%                                      |
| 16,065            | Other Income & Gains                                          | 2,609                              | 11,384                             | -77%                                      | 1,930                              | 9,763                              | -80%                                      |
| (73,789)          | Marketing & Promotional Expenses                              | (28,322)                           | (34,027)                           | 17%                                       | (16,703)                           | (20,317)                           | 18%                                       |
| (892,426)         | Administrative Expenses                                       | (402,250)                          | (415,682)                          | 3%                                        | (211,326)                          | (234,175)                          | 10%                                       |
| <b>645,173</b>    | <b>Profit from Operations</b>                                 | <b>115,204</b>                     | <b>242,288</b>                     | -52%                                      | <b>84,980</b>                      | <b>194,264</b>                     | -56%                                      |
| (324,623)         | Depreciation & Amortisation                                   | (160,206)                          | (165,007)                          | 3%                                        | (80,440)                           | (81,907)                           | 2%                                        |
| (457,605)         | Finance Expenses                                              | (222,205)                          | (217,737)                          | -2%                                       | (106,163)                          | (111,738)                          | 5%                                        |
| 21,460            | Finance Income                                                | 4,763                              | 6,785                              | -30%                                      | 850                                | 6,746                              | -87%                                      |
| (155,656)         | Exchange Gain/(Loss) from Conversion of Foreign Currency Loan | (33,444)                           | (101,086)                          | 67%                                       | (31,331)                           | (83,359)                           | 62%                                       |
| <b>(271,251)</b>  | <b>Profit/(Loss) Before Tax</b>                               | <b>(295,888)</b>                   | <b>(234,757)</b>                   | -26%                                      | <b>(132,104)</b>                   | <b>(75,994)</b>                    | -74%                                      |
| (9,337)           | Income Tax Expenses                                           | (1,103)                            | (4,559)                            | 76%                                       | (538)                              | (4,606)                            | 88%                                       |
| <b>(280,588)</b>  | <b>Profit/(Loss) for the Period</b>                           | <b>(296,991)</b>                   | <b>(239,316)</b>                   | -24%                                      | <b>(132,642)</b>                   | <b>(80,600)</b>                    | -65%                                      |
|                   | <b>Attributable to:</b>                                       |                                    |                                    |                                           |                                    |                                    |                                           |
| (279,457)         | Equity holders of the Parent                                  | (291,560)                          | (236,929)                          |                                           | (129,935)                          | (81,671)                           |                                           |
| (1,131)           | Non-controlling Interest                                      | (5,431)                            | (2,387)                            |                                           | (2,707)                            | 1,071                              |                                           |
| <b>(280,588)</b>  |                                                               | <b>(296,991)</b>                   | <b>(239,316)</b>                   |                                           | <b>(132,642)</b>                   | <b>(80,600)</b>                    |                                           |
| <b>(0.56)</b>     | Basic earnings per share for the period (Rs.)                 | <b>(0.58)</b>                      | <b>(0.47)</b>                      |                                           | <b>(0.26)</b>                      | <b>(0.16)</b>                      |                                           |

**Notes**

**5,509,276** 1. Stated capital issued and fully paid  
(502,188,559 Ordinary Shares)

**5,509,276** **5,509,276**

**5,509,276** **5,509,276**

2. Figures in brackets indicate deductions

**JETWING SYMPHONY PLC**  
**STATEMENT OF PROFIT OR LOSS - COMPANY**

| YEAR ENDED    |                                               | 6 MONTHS ENDED |               |                | 03 MONTHS ENDED |               |                |
|---------------|-----------------------------------------------|----------------|---------------|----------------|-----------------|---------------|----------------|
| Audited       |                                               | Unaudited      | Unaudited     | Variance       | Unaudited       | Unaudited     | Variance       |
| 31.03.2019    |                                               | 30.09.2019     | 30.09.2018    | Favourable/    | 30.09.2019      | 30.09.2018    | Favourable/    |
| Rs.'000       |                                               | Rs.'000        | Rs.'000       | (Unfavourable) | Rs.'000         | Rs.'000       | (Unfavourable) |
| -             | Revenue                                       | -              | -             |                | -               | -             | -              |
| -             | Cost of Sales                                 | -              | -             |                | -               | -             | -              |
| -             | <b>Gross Profit</b>                           | -              | -             |                | -               | -             | -              |
| 10,727        | Other Income & Gains                          | 548            | 9,765         | -94%           | 548             | 9,744         | -94%           |
| -             | Marketing & Promotional Expenses              | -              | -             | 0%             | -               | -             | -              |
| (6,551)       | Administrative Expenses                       | (2,215)        | (3,504)       | 37%            | (1,075)         | (1,861)       | 42%            |
| <b>4,176</b>  | <b>Profit from Operations</b>                 | <b>(1,667)</b> | <b>6,261</b>  | -127%          | <b>(527)</b>    | <b>7,883</b>  | -107%          |
| (8)           | Finance Cost                                  | (0)            | (7)           | 99%            | -               | -             | -              |
| 19,135        | Finance Income                                | 3,903          | 6,686         | -42%           | 1,883           | 6,686         | -72%           |
| <b>23,303</b> | <b>Profit/(Loss) Before Tax</b>               | <b>2,236</b>   | <b>12,940</b> | -83%           | <b>1,356</b>    | <b>14,569</b> | -91%           |
| (8,361)       | Income Tax Expenses                           | (1,093)        | (4,606)       | 76%            | (527)           | (4,606)       | 89%            |
| <b>14,942</b> | <b>Profit/(Loss) for the Period</b>           | <b>1,143</b>   | <b>8,334</b>  | -86%           | <b>829</b>      | <b>9,963</b>  | -92%           |
| <b>0.03</b>   | Basic earnings per share for the period (Rs.) | <b>0.002</b>   | <b>0.017</b>  |                | <b>0.002</b>    | <b>0.020</b>  |                |

**Notes**

|                  |                                                                                 |                  |                  |                  |                  |
|------------------|---------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| <b>5,509,276</b> | <b>1. Stated capital issued and fully paid</b><br>(502,188,559 Ordinary Shares) | <b>5,509,276</b> | <b>5,509,276</b> | <b>5,509,276</b> | <b>5,509,276</b> |
|                  | <b>2. Figures in brackets indicate deductions</b>                               |                  |                  |                  |                  |

JETWING SYMPHONY PLC  
STATEMENT OF OTHER COMPREHENSIVE INCOME - GROUP

| YEAR ENDED |                                                                                                                 | 06 MONTHS ENDED |            | 03 MONTHS ENDED |            |
|------------|-----------------------------------------------------------------------------------------------------------------|-----------------|------------|-----------------|------------|
| Audited    |                                                                                                                 | Unaudited       | Unaudited  | Unaudited       | Unaudited  |
| 31.03.2019 |                                                                                                                 | 30.09.2019      | 30.09.2018 | 30.09.2019      | 30.09.2018 |
| Rs.'000    |                                                                                                                 | Rs.'000         | Rs.'000    | Rs.'000         | Rs.'000    |
| (280,588)  | Net Profit/(Loss) for the period                                                                                | (296,991)       | (239,316)  | (132,642)       | (80,600)   |
|            | Other Comprehensive Income                                                                                      |                 |            |                 |            |
|            | <i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>     |                 |            |                 |            |
| -          | Gain/(Loss) on Available for Sale Financial Instruments                                                         | -               | 10,369     | -               | 1,822      |
| 10,687     | Gain/(Loss) on FVTOCI Financial Instruments                                                                     |                 |            | -               | -          |
| (11,011)   | Reclassification adjustments for Gains included in the Statement of Profit or Loss                              | -               | (9,882)    | -               | (9,777)    |
|            | <i>Other Comprehensive Income not to be reclassified to Statement of Profit or Loss in subsequent periods :</i> |                 |            |                 |            |
| 1,051      | Actuarial gain/(Loss) on Post-Employment Benefit Liabilities                                                    | -               | -          | -               | -          |
| 260,875    | Revaluation Surplus of Freehold Land                                                                            | -               | -          | -               | -          |
| (36,522)   | Deferred Tax on Revaluation Surplus                                                                             | -               | -          | -               | -          |
| 225,080    | Other Comprehensive Income/(Loss) for the Period                                                                | -               | 487        | -               | (7,955)    |
| (55,508)   | Total Comprehensive Income/(Loss) for the Period                                                                | (296,991)       | (238,829)  | (132,642)       | (88,555)   |
|            | Attributable to:                                                                                                |                 |            |                 |            |
| (54,398)   | Equity holders of the Parent Company                                                                            | (291,560)       | (236,442)  | (129,935)       | (89,626)   |
| (1,110)    | Non-controlling Interest                                                                                        | (5,431)         | (2,387)    | (2,707)         | 1,071      |
| (55,508)   |                                                                                                                 | (296,991)       | (238,829)  | (132,642)       | (88,555)   |

JETWING SYMPHONY PLC  
STATEMENT OF OTHER COMPREHENSIVE INCOME - COMPANY

| YEAR ENDED |                                                                                                             | 06 MONTHS ENDED |            | 03 MONTHS ENDED |            |
|------------|-------------------------------------------------------------------------------------------------------------|-----------------|------------|-----------------|------------|
| Audited    |                                                                                                             | Unaudited       | Unaudited  | Unaudited       | Unaudited  |
| 31.03.2019 |                                                                                                             | 30.09.2019      | 30.09.2018 | 30.09.2019      | 30.09.2018 |
| Rs.'000    |                                                                                                             | Rs.'000         | Rs.'000    | Rs.'000         | Rs.'000    |
| 14,942     | Net Profit/(Loss) for the period                                                                            | 1,143           | 8,334      | 829             | 9,963      |
|            | Other Comprehensive Income                                                                                  |                 |            |                 |            |
|            | <i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i> |                 |            |                 |            |
| -          | Gain/(Loss) on Available for Sale Financial Instruments                                                     | -               | 9,830      | -               | 2,103      |
| 10,409     | Gain/(Loss) on FVTOCI-Financial Instruments                                                                 | -               | -          | -               | -          |
| (10,727)   | Reclassification adjustments for Gains included in the Statement of Profit or Loss                          | -               | (9,765)    | -               | (9,744)    |
| (318)      | Other Comprehensive Income/(Loss) for the Period                                                            | -               | 65         | -               | (7,641)    |
| 14,624     | Total Comprehensive Income/(Loss) for the Period                                                            | 1,143           | 8,399      | 829             | 2,322      |



**JETWING SYMPHONY PLC**  
**STATEMENT OF CHANGES IN EQUITY - GROUP**

|                                          | ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT |                            |                    |                     |                    |                  | Non-Controlling Interest | Total Equity     |
|------------------------------------------|----------------------------------------------|----------------------------|--------------------|---------------------|--------------------|------------------|--------------------------|------------------|
|                                          | Stated Capital                               | Available for Sale Reserve | Fair Value Reserve | Revaluation Reserve | Retained Earnings  | Total            |                          |                  |
|                                          | Rs.'000                                      | Rs.'000                    | Rs.'000            | Rs.'000             | Rs.'000            | Rs.'000          | Rs.'000                  | Rs.'000          |
| <b>Balance as at 01st April 2018</b>     | <b>5,509,276</b>                             | <b>(495)</b>               | <b>-</b>           | <b>709,822</b>      | <b>(845,143)</b>   | <b>5,373,460</b> | <b>22,543</b>            | <b>5,396,003</b> |
| Profit / (Loss) for the period           | -                                            | -                          | -                  | -                   | (236,929)          | (236,929)        | (2,387)                  | <b>(239,316)</b> |
| Other Comprehensive Income/(Loss)        | -                                            | 487                        | -                  | -                   | -                  | 487              | -                        | <b>487</b>       |
| <b>Total Comprehensive Income/(Loss)</b> | <b>-</b>                                     | <b>487</b>                 | <b>-</b>           | <b>-</b>            | <b>(236,929)</b>   | <b>(236,442)</b> | <b>(2,387)</b>           | <b>(238,829)</b> |
| <b>Balance as at 30th September 2018</b> | <b>5,509,276</b>                             | <b>(8)</b>                 | <b>-</b>           | <b>709,822</b>      | <b>(1,082,072)</b> | <b>5,137,018</b> | <b>20,156</b>            | <b>5,157,174</b> |
| <b>Balance as at 1 April 2019</b>        | <b>5,509,276</b>                             | <b>-</b>                   | <b>-</b>           | <b>934,175</b>      | <b>(1,124,390)</b> | <b>5,319,061</b> | <b>21,434</b>            | <b>5,340,495</b> |
| Profit / (Loss) for the Period           | -                                            | -                          | -                  | -                   | (291,560)          | (291,560)        | (5,431)                  | <b>(296,991)</b> |
| Other Comprehensive Income               | -                                            | -                          | -                  | -                   | -                  | -                | -                        | -                |
| <b>Total Comprehensive Income</b>        | <b>-</b>                                     | <b>-</b>                   | <b>-</b>           | <b>-</b>            | <b>(291,560)</b>   | <b>(291,560)</b> | <b>(5,431)</b>           | <b>(296,991)</b> |
| <b>Balance as at 30th September 2019</b> | <b>5,509,276</b>                             | <b>-</b>                   | <b>-</b>           | <b>934,175</b>      | <b>(1,415,950)</b> | <b>5,027,501</b> | <b>16,003</b>            | <b>5,043,504</b> |

Note

Comparative figures for 30th September 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statments.

**JETWING SYMPHONY PLC**  
**STATEMENT OF CHANGES IN EQUITY - COMPANY**

|                                                 | Stated<br>Capital<br>Rs.'000 | Available for Sale<br>Reserve<br>Rs.'000 | Fair Value Reserve<br>Rs.'000 | Retained<br>Earnings<br>Rs.'000 | Total<br>Rs.'000 |
|-------------------------------------------------|------------------------------|------------------------------------------|-------------------------------|---------------------------------|------------------|
| <b>Balance as at 01<sup>st</sup> April 2018</b> | 5,509,276                    | 318                                      | -                             | (47,494)                        | <b>5,462,100</b> |
| Profit/ (Loss) for the Period                   | -                            | -                                        | -                             | 8,334                           | <b>8,334</b>     |
| Other Comprehensive Income                      | -                            | 65                                       | -                             | -                               | <b>65</b>        |
| <b>Total Comprehensive Income</b>               | <b>-</b>                     | <b>65</b>                                | <b>-</b>                      | <b>8,334</b>                    | <b>8,399</b>     |
| <b>Balance as at 30th September 2018</b>        | <b>5,509,276</b>             | <b>383</b>                               | <b>-</b>                      | <b>(39,160)</b>                 | <b>5,470,499</b> |
| <b>Balance as at 1 April 2019</b>               | 5,509,276                    | -                                        | -                             | (32,552)                        | 5,476,724        |
| Profit / (Loss) for the Period                  | -                            | -                                        | -                             | 1,143                           | <b>1,143</b>     |
| Other Comprehensive Income                      | -                            | -                                        | -                             | -                               | -                |
| <b>Total Comprehensive Income</b>               | <b>-</b>                     | <b>-</b>                                 | <b>-</b>                      | <b>1,143</b>                    | <b>1,143</b>     |
| <b>Balance as at 30th September 2019</b>        | <b>5,509,276</b>             | <b>-</b>                                 | <b>-</b>                      | <b>(31,409)</b>                 | <b>5,477,867</b> |

**Note**

Comparative figures for 30th September 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statements.

**JETWING SYMPHONY PLC**  
**STATEMENT OF CASH FLOWS**

**FOR THE SIX MONTHS ENDED**

|                                                                 | <b>GROUP</b>                                |                                             | <b>COMPANY</b>                              |                                             |
|-----------------------------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|
|                                                                 | <b>Unaudited<br/>30.09.2019<br/>Rs.'000</b> | <b>Unaudited<br/>30.09.2018<br/>Rs.'000</b> | <b>Unaudited<br/>30.09.2019<br/>Rs.'000</b> | <b>Unaudited<br/>30.09.2018<br/>Rs.'000</b> |
| <b>Cash Flows from Operating Activities</b>                     |                                             |                                             |                                             |                                             |
| Profit/(Loss) before Tax                                        | (295,888)                                   | (234,757)                                   | 2,236                                       | 12,940                                      |
| <b>Adjustments for</b>                                          |                                             |                                             |                                             |                                             |
| Interest Received                                               | (4,763)                                     | (6,785)                                     | (3,903)                                     | (6,686)                                     |
| Depreciation & Amortization                                     | 160,206                                     | 165,007                                     | -                                           | -                                           |
| Finance Costs                                                   | 222,205                                     | 217,737                                     | 0                                           | 7                                           |
| (Profit)/Loss on Disposal of Fixed Assets                       | 1,856                                       | (637)                                       | -                                           | -                                           |
| Capital Gain on Sale of Investments                             | -                                           | (9,882)                                     | (548)                                       | (9,765)                                     |
| Exchange (Gain)/Loss on Foreign Currency Loan Conversion        | 33,444                                      | 101,086                                     | -                                           | -                                           |
| Fair Value gain from Unrealized shares                          | (118)                                       | -                                           | -                                           | -                                           |
| Provision for Retirement Benefit Obligation                     | 3,903                                       | 3,102                                       | -                                           | -                                           |
| <b>Operating Profit/(Loss) before Working Capital Changes</b>   | <b>120,845</b>                              | <b>234,871</b>                              | <b>(2,215)</b>                              | <b>(3,504)</b>                              |
| (Increase)/Decrease in Inventories                              | 5,368                                       | (1,773)                                     | -                                           | -                                           |
| (Increase)/Decrease in Trade and Other Receivables              | 103,803                                     | 29,967                                      | 7,534                                       | (6,523)                                     |
| Increase/(Decrease) in Trade and Other Payables                 | (54,582)                                    | (46,219)                                    | (235)                                       | (260)                                       |
| <b>Cash Generated From/(Used in) Operations</b>                 | <b>175,434</b>                              | <b>216,846</b>                              | <b>5,084</b>                                | <b>(10,287)</b>                             |
| Income Tax Paid                                                 | (9,115)                                     | (657)                                       | (7,688)                                     | (565)                                       |
| Finance Cost Paid                                               | (78,532)                                    | (217,737)                                   | (0)                                         | (7)                                         |
| Defined Benefit Plan Costs Paid net of transfers                | 272                                         | (730)                                       | -                                           | -                                           |
| <b>Net Cash From/(Used in) Operating Activities</b>             | <b>88,059</b>                               | <b>(2,278)</b>                              | <b>(2,604)</b>                              | <b>(10,859)</b>                             |
| <b>Cash Flows From/(Used in) Investing Activities</b>           |                                             |                                             |                                             |                                             |
| Acquisition of Property, Plant and Equipment                    | (191,172)                                   | (79,704)                                    | -                                           | -                                           |
| Net Investment in fixed deposits                                | 175,000                                     | (275,000)                                   | -                                           | (275,000)                                   |
| Proceeds from Sale of Property, Plant and Equipment             | -                                           | 4,847                                       | -                                           | -                                           |
| Short Term Loans (Granted)/settled                              | -                                           | -                                           | (5,000)                                     | -                                           |
| Net Investment in Unit Trust                                    | -                                           | 319,323                                     | -                                           | 345,100                                     |
| Interest Received                                               | 4,763                                       | 6,785                                       | 3,903                                       | 6,686                                       |
| Investment in Subsidiaries net of cash acquired                 | -                                           | -                                           | -                                           | (66,000)                                    |
| <b>Net Cash Flows From/(Used in) Investing Activities</b>       | <b>(11,409)</b>                             | <b>(23,749)</b>                             | <b>(1,097)</b>                              | <b>10,786</b>                               |
| <b>Cash Flows From/(Used in) Financing Activities</b>           |                                             |                                             |                                             |                                             |
| Proceeds from Interest bearing borrowings                       | 320,000                                     | 221,530                                     | -                                           | -                                           |
| Repayment of Interest bearing borrowings                        | (167,345)                                   | (404,278)                                   | -                                           | -                                           |
| Cost of Issue of Shares                                         | -                                           | (59)                                        | -                                           | (59)                                        |
| Proceeds received from Grants                                   | 275                                         | 200                                         | -                                           | -                                           |
| <b>Net Cash Flows From/(Used in) Financing Activities</b>       | <b>152,930</b>                              | <b>(182,607)</b>                            | <b>-</b>                                    | <b>(59)</b>                                 |
| <b>Net Increase/(Decrease) in Cash &amp; Cash Equivalents</b>   | <b>229,580</b>                              | <b>(208,634)</b>                            | <b>(3,701)</b>                              | <b>(132)</b>                                |
| <b>Cash and Cash Equivalents at the beginning of the period</b> | <b>(1,206,723)</b>                          | <b>(722,832)</b>                            | <b>5,665</b>                                | <b>782</b>                                  |
| <b>Cash and Cash Equivalents at the end of the period</b>       | <b>(977,143)</b>                            | <b>(931,466)</b>                            | <b>1,964</b>                                | <b>650</b>                                  |
| Cash and Bank Balance                                           | 18,437                                      | 35,858                                      | 1,964                                       | 650                                         |
| Short Term Deposit                                              | 1,581                                       | 2,699                                       | -                                           | -                                           |
| Bank Overdraft                                                  | (997,161)                                   | (970,023)                                   | -                                           | -                                           |
| <b>Cash and Cash Equivalents at the end of the period</b>       | <b>(977,143)</b>                            | <b>(931,466)</b>                            | <b>1,964</b>                                | <b>650</b>                                  |

**JETWING SYMPHONY PLC**  
**INVESTOR INFORMATION**

|                                                    | <b>30.09.2019</b> | <b>30.09.2018</b> |
|----------------------------------------------------|-------------------|-------------------|
| <b>Market Value of Shares</b>                      | <b>(Rs.)</b>      | <b>(Rs.)</b>      |
| Last Traded price on                               | 12.50             | 12.00             |
| Highest price recorded for the three months ending | 12.50             | 13.30             |
| Lowest price recorded for the three months ending  | 8.80              | 10.40             |
| Highest price recorded for the six months ending   | 12.50             | 15.00             |
| Lowest price recorded for the six months ending    | 8.70              | 10.40             |
| Market Capitalisation (Rs.Mn.)                     | 6,277             | 6,026             |

**Ratios**

|                      |                             |       |
|----------------------|-----------------------------|-------|
| Net assets per share | 10.01                       | 10.23 |
|                      | (Rs 10.59 as at 31.03.2019) |       |

**Share trading for the Six months ended**

|                              |           |             |
|------------------------------|-----------|-------------|
| Number of transactions       | 281       | 216         |
| Number of shares traded      | 651,035   | 22,771,171  |
| Value of shares traded (Rs.) | 6,769,233 | 264,171,796 |

**Twenty Largest Shareholders as at 30th September 2019**

| <b>Name of Shareholder</b>                       | <b>No. of Shares as at 30.09.2019</b> | <b>%</b>     |
|--------------------------------------------------|---------------------------------------|--------------|
| 01. Jetwing Travels (Pvt) Ltd                    | 93,767,471                            | 18.67        |
| 02. R.O.K. International Holdings Ltd            | 90,909,091                            | 18.10        |
| 03. Blue Oceanic Beach Hotel (Pvt) Ltd           | 66,214,150                            | 13.19        |
| 04. Employees Provident Fund                     | 35,454,545                            | 7.06         |
| 05. N.J. Cooray Builders (Pvt) Ltd               | 29,088,096                            | 5.79         |
| 06. Mrs. A.M.J. Cooray                           | 27,374,055                            | 5.45         |
| 07. Amaliya Private Limited                      | 25,109,400                            | 5.00         |
| 08. Mr L.Weinman                                 | 22,727,273                            | 4.53         |
| 09. Mr. N.J.H.M. Cooray                          | 21,060,311                            | 4.19         |
| 10. Ms. N.T.M.S. Cooray                          | 19,179,297                            | 3.82         |
| 11. RMP Partners Ltd                             | 11,505,676                            | 2.29         |
| 12. Jetwing Hotels Management Services (Pvt) Ltd | 5,562,059                             | 1.11         |
| 13. St. Andrew's Hotel (Pvt) Ltd                 | 5,100,000                             | 1.02         |
| 14. Seylan Bank PLC. - A/C NO. 3                 | 3,328,749                             | 0.66         |
| 15. Mr. N.J.D.M. Cooray                          | 3,286,997                             | 0.65         |
| 16. Mr. N.H.V. Perera                            | 3,186,609                             | 0.63         |
| 17. Nilaveli Beach Hotels (Pvt) Limited          | 3,102,755                             | 0.62         |
| 18. Mr. N.J.H.Cooray                             | 2,861,439                             | 0.57         |
| 18. Mr. N.A.H.Cooray                             | 2,861,439                             | 0.57         |
| 18.Mr. G.R.Cooray Arasaratnam                    | 2,861,439                             | 0.57         |
| <b>TOTAL</b>                                     | <b>474,540,851</b>                    | <b>94.49</b> |

**There were no non voting shares as at 30 September 2019**

**18.43% of the issued capital of the company was held by the public, comprising of 623 shareholders and a float adjusted market capitalisation of LKR 1,156,916,893 as at 30th September 2019. In terms of Rule 7.13.1.(b) of the listing rules of the Colombo Stock Exchange, the Company qualifies under option 1 of the minimum public holding requirement.**

**JETWING SYMPHONY PLC**  
**INVESTOR INFORMATION**

**Directors' Shareholding**

| <b>Directors</b>        | <b>Directors' Direct Shareholding as at 30.09.2019</b> |
|-------------------------|--------------------------------------------------------|
| Mr. N.J.H.M. Cooray     | 21,060,311                                             |
| Ms. N.T.M.S. Cooray     | 19,179,297                                             |
| Mr. N. Wadugodapitiya   | 25,000                                                 |
| Ms. K.K. Reddy          | -                                                      |
| Dr. V.J. Kannangara     | -                                                      |
| Mr. L.K. Porter         | -                                                      |
| Mr. G. Rocchi           | -                                                      |
| Ms. T.M.J.Y.P. Fernando | -                                                      |
| Mr.S. D. Amalean        | -                                                      |

There has been no change in the Directors' direct shareholding during the 6 months ended 30 September, 2019

**Note\*** - The Ordinary shares of the Company were listed in the Colombo Stock Exchange on 05th January 2018

**1. Principal Activities and Nature of Operations**

Jetwing Symphony PLC is the holding company that owns, directly and indirectly, investments in a number of companies that are involved in the business of hoteliering.

**2. Basis of Preparation**

The interim financial statements have been prepared in accordance with the Sri Lanka Accounting Standard (LKAS) 34- Interim financial reporting.

**3. Changes in Accounting Policies**

These interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31.03.2019 except for the new standard adopted as follows;

**- SLFRS 16 Leases**

The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for most leases under a single on-balance sheet model. The Group has adopted SLFRS 16 using modified retrospective method from 1<sup>st</sup> April 2019, without restating comparatives for the 2018/19 reporting period, as permitted under the specific transitional provisions in the standard.

The effect of adoption of SLFRS 16 as at 1 April 2019 (increase/(decrease)) is as follows:

| <b>Assets</b>                         | <b>Rs'000</b> |
|---------------------------------------|---------------|
| Property, Plant & Equipment           | (1,749)       |
| Right of use assets                   | 78,099        |
| Prepaid lease rent                    | (47,049)      |
| <b>Total Assets</b>                   | <b>29,301</b> |
| <b>Liabilities</b>                    |               |
| Interest bearing loans and borrowings | 29,301        |
| <b>Total Liabilities</b>              |               |

**a) Nature of the effect of adoption of SLFRS 16**

The Group has lease contracts for items such as lands and vehicles. Land leases are the major asset included in the right of use assets category, typically made for about 30 years of lease term and have extension options.

**Leases previously classified as finance leases**

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability at 1 April 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

**Leases classified as operating leases under LKAS 17**

At transition, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Group's incremental borrowing rate as at 1 April 2019. Right-of-use assets are measured at either:

- their carrying amount as if SLFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application – the Group applied this approach to its largest property leases; or
- an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments the Group applied this approach to all other leases.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> SEPTEMBER 2019

The lease liabilities as at 1 April 2019 can be reconciled to the operating lease commitments as of 31 March 2019 as follows:

|                                                                           | Rs '000 |
|---------------------------------------------------------------------------|---------|
| Operating lease commitments as at 31 March 2019                           | 25,000  |
| Discounted operating lease commitments as at 1 April 2019                 | 16,719  |
| Add:                                                                      |         |
| Payments in optional extension periods not recognised as at 31 March 2019 | 12,582  |
| Lease Liabilities as at 1 April 2019                                      | 29,301  |

b) Summary of new accounting policies

Set out below are the new accounting policies of the Group upon adoption of SLFRS 16, which have been applied from 1<sup>st</sup> April 2019:

*Right of use assets*

The Group recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term.

*Lease liabilities*

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

*Short-term leases and leases of low-value assets*

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Amounts recognised in the statement of financial position and income statement set out below, are the carrying amounts of the Group's right of use assets and the movements for the period ended 30 September 2019.

| Right of use Assets       | Land (Rs '000) | Motor Vehicles (Rs '000) | Total (Rs '000) |
|---------------------------|----------------|--------------------------|-----------------|
| As at 1st April 2019      | 76,350         | 1,749                    | 78,099          |
| Amortization expenses     | 1,263          | -                        | 1,263           |
| Depreciation              | -              | 530                      | 530             |
| As at 30th September 2019 | 75,087         | 1,219                    | 76,306          |

4. Fair value measurement and related fair value disclosures

The fair values of all the financial assets and financial liabilities recognised during the period were not materially different from the transaction prices at the date of initial recognition. There were no transfers between Level 1 and Level 2 and no transfers into or out of Level 3 categories as per the fair value hierarchy, during the period.

**NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> SEPTEMBER 2019**

5. There are no significant contingent liabilities as at 30th September 2019, other than the following,

Local authorities have claimed a fee amounting to 1% of turnover for the issuance of trade license for the year 2017 & 2018. The Group does not agree with such claim. The estimated contingent liability as at 30 September 2019 is Rs 18.8 Mn.

6. Information for the six months to 30<sup>th</sup> September, 2018 has been reclassified to conform with the current presentation where applicable.

7. There are no distinguishable components to be identified as segments for the Company.

8. No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.

9. Four months of the period under review relates to the off-season of the tourism industry in Sri Lanka.

10. Related Party Disclosures for the 6 months ended 30<sup>th</sup> September.

Details of the significant related party disclosures are as follows.

|                                             | <b>Group</b>   |                | <b>Company</b> |                |
|---------------------------------------------|----------------|----------------|----------------|----------------|
|                                             | <b>2019</b>    | <b>2018</b>    | <b>2019</b>    | <b>2018</b>    |
|                                             | <b>Rs.'000</b> | <b>Rs.'000</b> | <b>Rs.'000</b> | <b>Rs.'000</b> |
| <b>10.1 Transactions with subsidiaries</b>  |                |                |                |                |
| <b>Amount Receivable as at 30 September</b> | -              | -              | 59,102         | -              |
| <b>Nature of Transactions</b>               |                |                |                |                |
| Investment made in Subsidiaries             | -              | -              | -              | 66,000         |
| Net Advances Granted / (Settled)            | -              | -              | -              | 250            |
| Net Loans Granted/(Settled)                 | -              | -              | (1,498)        | -              |
| Interest Received                           | -              | -              | 3,827          | -              |

**10.2 Transactions with Other Related Parties**

Some Key Management Personnel of the Group/Company and their close members of the families, collectively have control directly or indirectly in certain entities with which the Group entered into the transactions, summarised as follows:

|                                             | <b>Group</b>   |                | <b>Company</b> |                |
|---------------------------------------------|----------------|----------------|----------------|----------------|
|                                             | <b>2019</b>    | <b>2018</b>    | <b>2019</b>    | <b>2018</b>    |
|                                             | <b>Rs.'000</b> | <b>Rs.'000</b> | <b>Rs.'000</b> | <b>Rs.'000</b> |
| Amount receivable as at 30 September        | 674            | 392            | -              | 6              |
| Amount payable as at 30 September           | 13,866         | 11,858         | -              | -              |
| <b>Nature of Transactions</b>               |                |                |                |                |
| Transportation Charges                      | 75             | 210            | -              | -              |
| Purchases of Beverage & Others              | 6,665          | 10,675         | -              | -              |
| Sale of Accommodation                       | 15,193         | 16,765         | -              | -              |
| Gratuity Transfer (Net)                     | 4              | 152            | -              | -              |
| Hotel Operation and Marketing Fee           | 30,335         | 43,999         | -              | -              |
| Advertising Expenses and Other Reimbursemen | 10,158         | 13,524         | 5              | 6              |
| Laundry Charges                             | 5,145          | 5,660          | -              | -              |
| Sale of other items                         | 1,321          | 1,183          | -              | -              |
| Support Services                            | 8,148          | 7,795          | -              | -              |
| Vehicle Hire Income                         | 271            | 272            | -              | -              |
| Investor relations Expenses                 | -              | 1,056          | -              | 1,056          |
| Net Investment/(Redemption) in Units        | -              | 383,323        | -              | 345,100        |
| Capital Gain from FVTOCI Investment         | -              | 9,882          | -              | 9,765          |



**10.3 Transactions with Key Management Personnel of the Company or its parent**

The key management personnel of the Company are the members of its Board of Directors.

| Key Management Personnel Compensation | Group           |                 | Company         |                 |
|---------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                       | 2019<br>Rs.'000 | 2018<br>Rs.'000 | 2019<br>Rs.'000 | 2018<br>Rs.'000 |
| Executive Directors Fee               | -               | -               | -               | -               |
| Non Executive Director's Fee          | 990             | 1,080           | 990             | 1,080           |

**10.4 Transactions with Significant Investors**

|                                             | Group           |                 | Company         |                 |
|---------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                             | 2019<br>Rs.'000 | 2018<br>Rs.'000 | 2019<br>Rs.'000 | 2018<br>Rs.'000 |
| Amount receivable as at 30 September        | 48              | 2               | -               | -               |
| Amount payable as at 30 September           | -               | 8               | -               | -               |
| Transport Expenses                          | 100             | 448             | -               | -               |
| Advertising Expenses and Other Reimbursemen | 1,264           | 1,296           | -               | -               |
| Sale of Accommodation                       | 61,144          | 88,452          | -               | -               |
| Vehicle Hire Income                         | 12              | 4               | -               | -               |
| Sale of other Items                         | 515             | 348             | -               | -               |
| Purchases of Beverage & Others              | 366             | 130             | -               | -               |

**10.5 Loan Receivable Related party**

|                        | Company         |                 |
|------------------------|-----------------|-----------------|
|                        | 2019<br>Rs.'000 | 2018<br>Rs.'000 |
| Jetwing Yala (Pvt) Ltd | 34,824          | -               |
| Jetwing city (Pvt) Ltd | 24,278          | -               |
|                        | <u>59,102</u>   | <u>-</u>        |

Loans were provided at the rate of AWPLR + Premium p.a

**10.6 Terms and Conditions**

All related party transactions have been conducted on relevant commercial terms with the respective parties. All related party outstanding balances at the year end are unsecured, interest free other than in the case of funding arrangements disclosed in Note 10.5 and are to be settled in cash or its equivalents.

# JETWING SYMPHONY PLC

## NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> SEPTEMBER 2019

11. The Company has collected IPO funds LKR 753,282,840/- for the said objectives of the prospectus. Current status of the utilization of the said objectives are listed below:

| Objective number | Objective as per Prospectus                                                    | Amount allocated as per Prospectus in (LKR Mn) | Proposed date of utilization as per Prospectus | Amount allocated in LKR Mn (A) | % of total proceeds | Amount utilized in LKR Mn (B) | % of utilized against allocation (B/A) | Clarification if not fully utilized including where the funds are invested (eg: whether lent to related party/s etc)                                                                                                                                                                                                                                                   |
|------------------|--------------------------------------------------------------------------------|------------------------------------------------|------------------------------------------------|--------------------------------|---------------------|-------------------------------|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1                | Investment in The Riverbank (Private) Limited for project completion           | 300                                            | January 2018 - July 2019                       | 300                            | 39.8%               | 300                           | 100%                                   |                                                                                                                                                                                                                                                                                                                                                                        |
| 2                | Investment in Pottuvil Point (Private) Limited for project completion          | 50                                             | 4th quarter FY18                               | 50                             | 6.6%                | 50                            | 100%                                   |                                                                                                                                                                                                                                                                                                                                                                        |
| 3                | Investment in Cultural Heritage (Private) Limited for the settlement of debt   | 200                                            | 4th quarter FY18                               | 200                            | 26.6%               | 200                           | 100%                                   |                                                                                                                                                                                                                                                                                                                                                                        |
| 4                | Investment in Jetwing Kaduruketha (Private) Limited for the settlement of debt | 150                                            | 4th quarter FY18                               | 150                            | 19.9%               | 150                           | 100%                                   |                                                                                                                                                                                                                                                                                                                                                                        |
| 5                | Financing future investments and working capital requirements                  | 15                                             | January 2018 – March 2019                      | 15                             | 2.0%                | -                             | -                                      | Unutilized funds have been temporarily granted to wholly owned subsidiary Yala Properties (Pvt) Ltd (Jetwing Yala) at an Interest rate of AWPLR + 0.75%                                                                                                                                                                                                                |
| 6                | Settlement of IPO costs                                                        | 38                                             | January 2018 – March 2018                      | 38                             | 5.1%                | 24                            | 63%                                    | The Company has saved LKR 14 Mn from the initial estimate for IPO costs. The remaining funds would be utilized for further investment in Jetwing Kandy Gallery or other future projects if required. The unutilized funds have been temporarily granted to wholly owned subsidiary Jetwing City (Pvt) Ltd (Jetwing Colombo Seven) at an Interest rate of AWPLR + 0.75% |
|                  | <b>Total</b>                                                                   | <b>753</b>                                     |                                                | <b>753</b>                     |                     | <b>724</b>                    | <b>96%</b>                             |                                                                                                                                                                                                                                                                                                                                                                        |